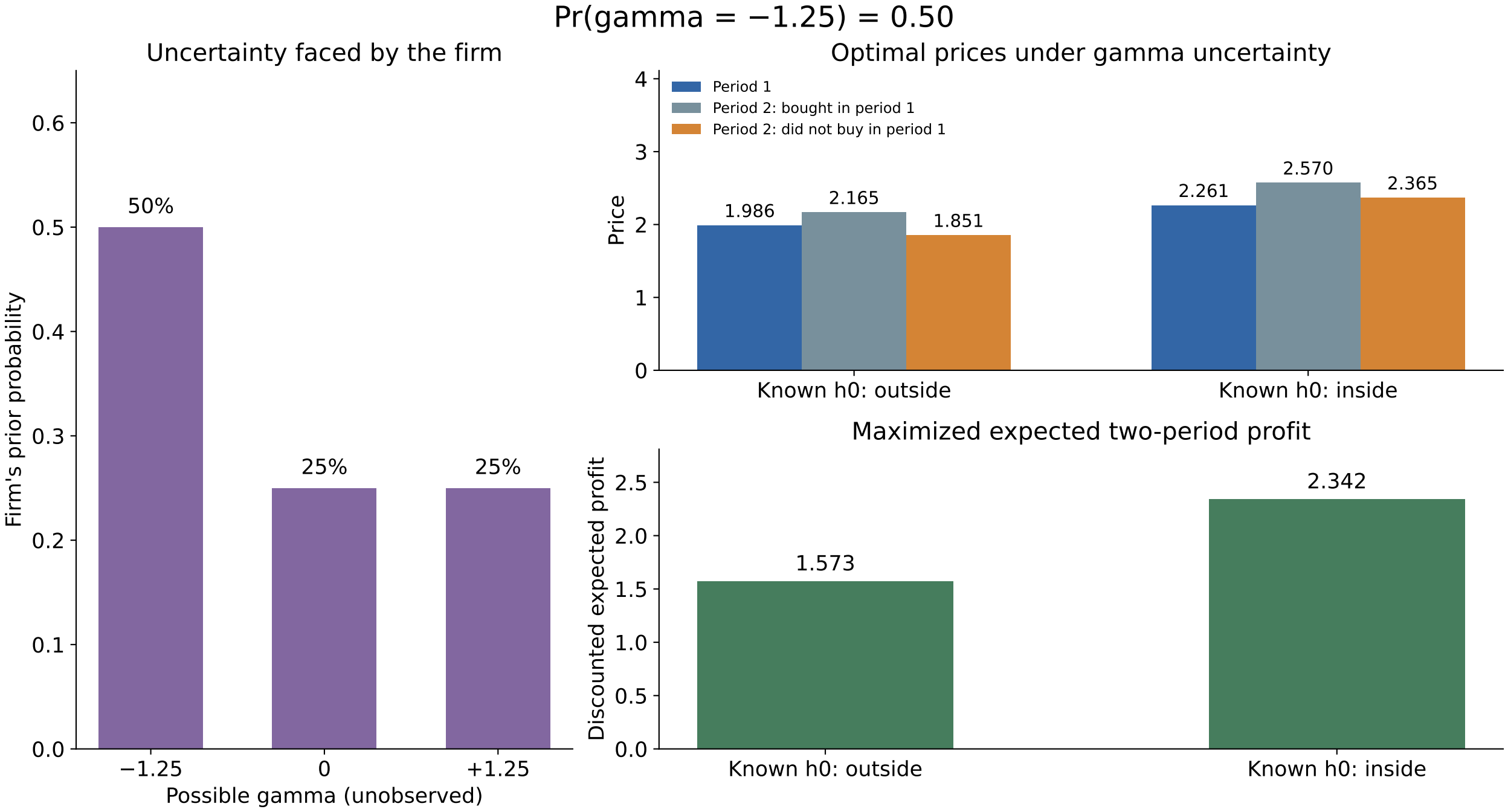
Pr(gamma = −1.25) = 0.50
Uncertainty faced by the firm
Firm's prior probability
0.0
0.1
0.2
0.3
0.4
0.5
0.6
50%
25%
25%
−1.25
0
+1.25
Possible gamma (unobserved)
Optimal prices under gamma uncertainty
Price
0
1
2
3
4
Period 1
Period 2: bought in period 1
Period 2: did not buy in period 1
1.986
2.165
1.851
2.261
2.570
2.365
Known h0: outside
Known h0: inside
Maximized expected two-period profit
Discounted expected profit
0.0
0.5
1.0
1.5
2.0
2.5
1.573
2.342
Known h0: outside
Known h0: inside